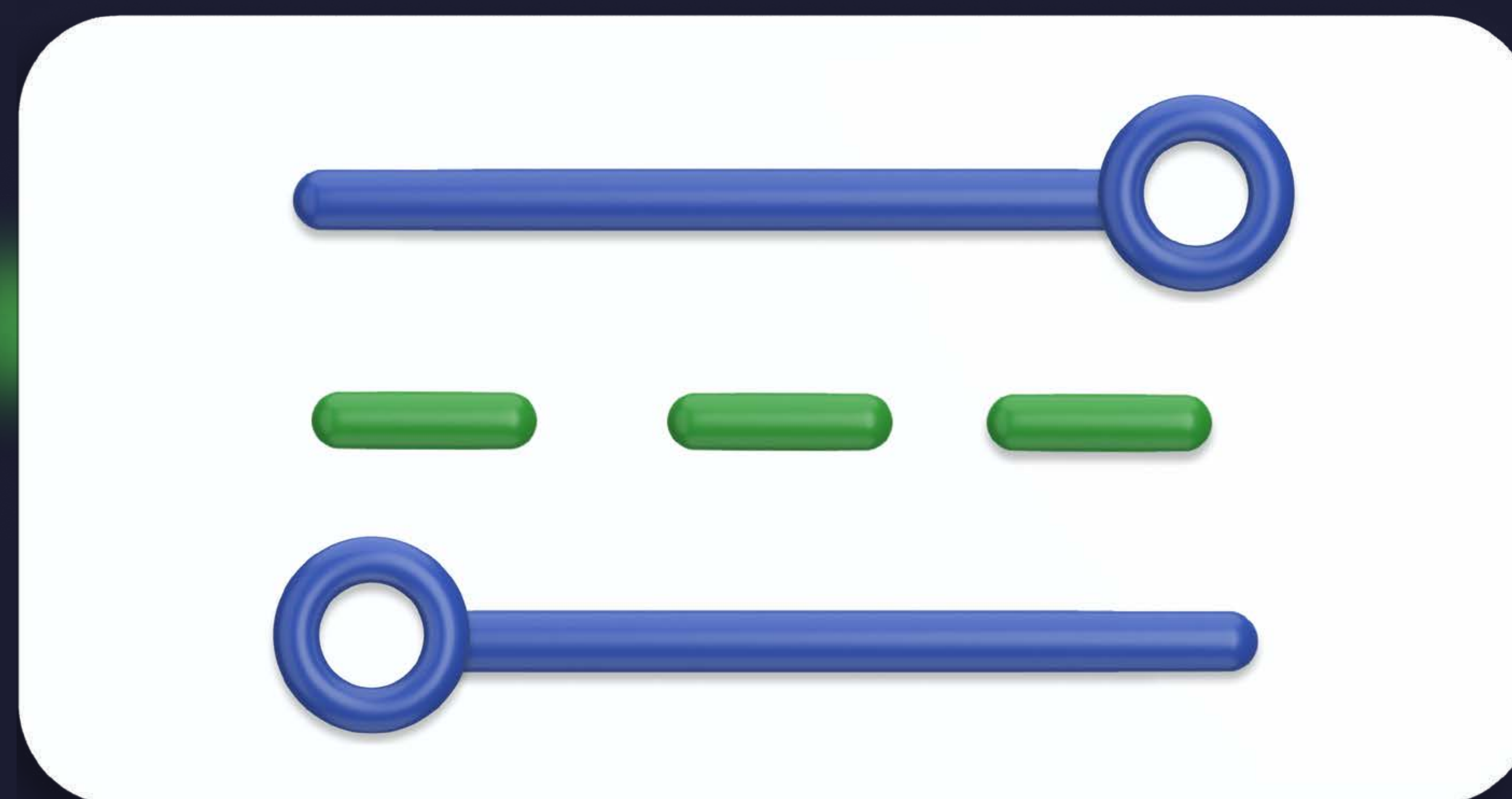


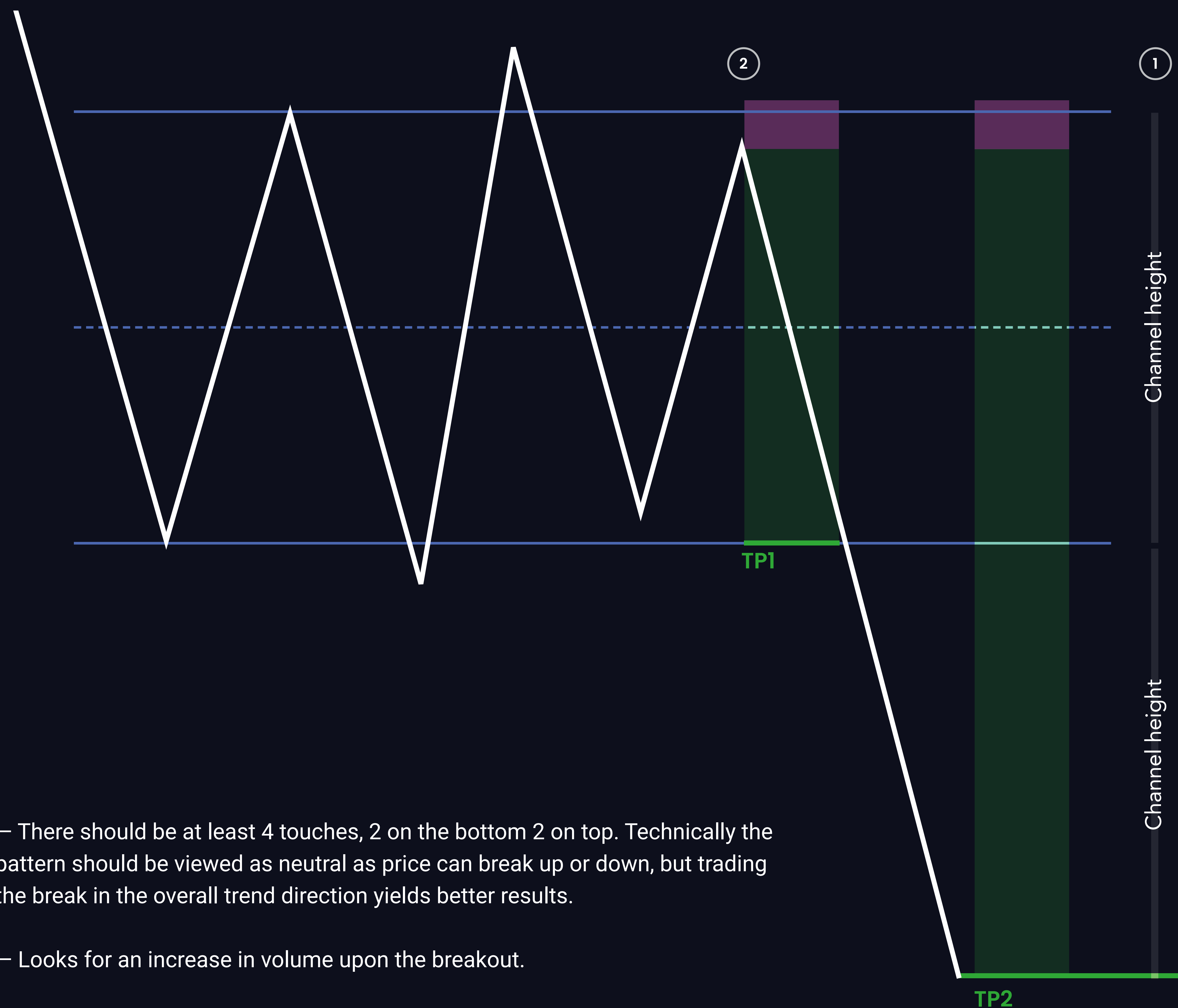
Channels

Cheat Sheet





Parallel Channels / Rectangles



– There should be at least 4 touches, 2 on the bottom 2 on top. Technically the pattern should be viewed as neutral as price can break up or down, but trading the break in the overall trend direction yields better results.

– Looks for an increase in volume upon the breakout.

1) For price targets take a measured move of the parallel channel and add the distance to the breakout direction.

2) In this example we are shorting the top of the channel with a partial rise and a **TP1** at the bottom of the channel. If price breaks to the downside we move **SL** to mid point of the channel and **TP2** is the measured move. For a maximum price target for a **TP3** measure the length of the parallel channel and extend it vertically above the channel in the direction of the breakout.

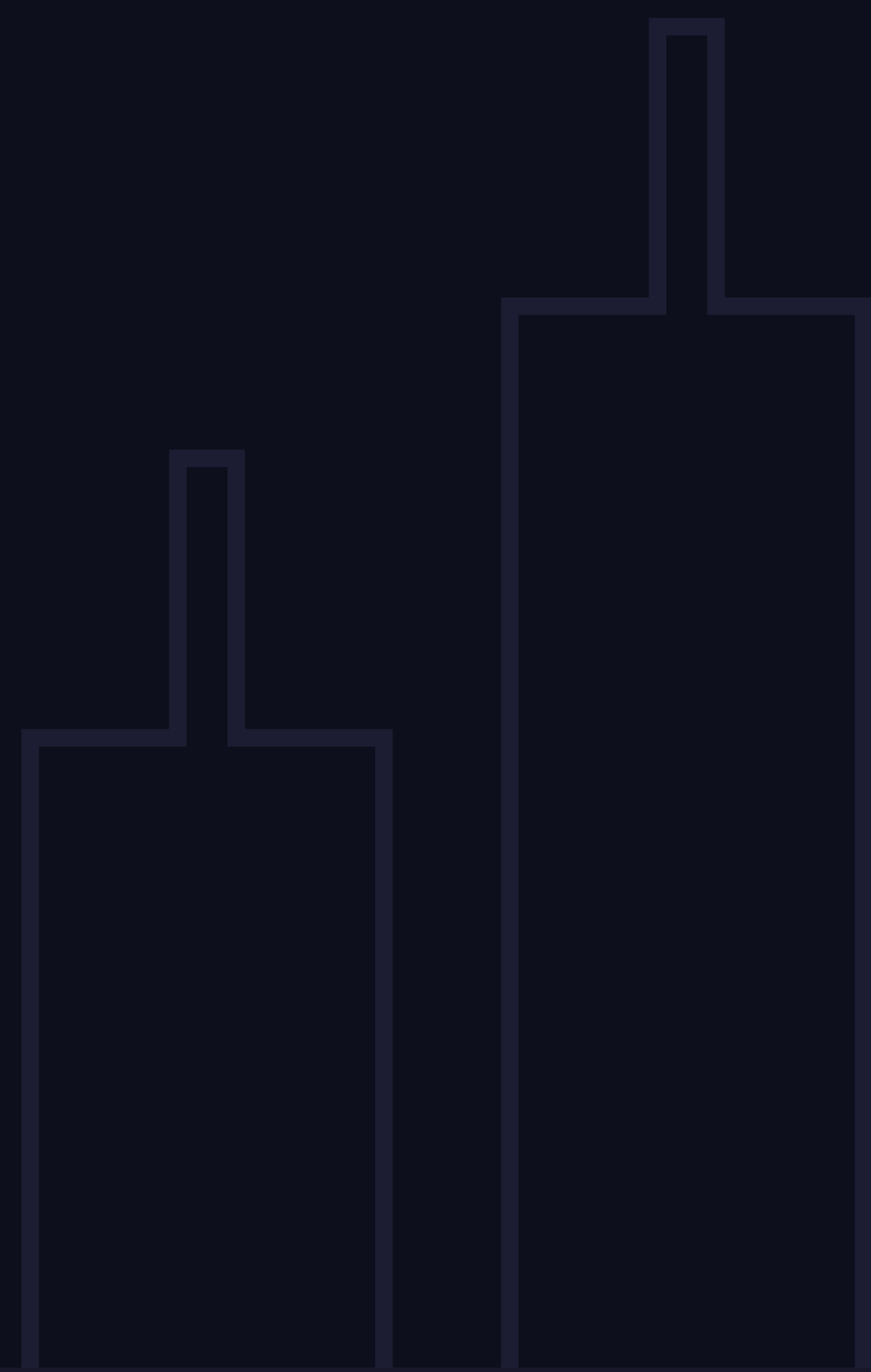


Explained in Contenders Parallel channels pt. 1 stream on 4. 9. 2019 (13:00)

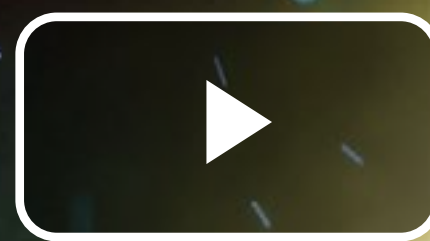


Day Trading Channels

I will generally trade a channel from bottom to top, or top to bottom with a take profit set at the mid point of the channel. I like to take 50% profit at the mid point and move stops up to breakeven. I will compound the trade if there is a close above the midpoint.



CONTENDERS
17



Explained in Contenders Parallel channels
pt. 1 stream on 4. 9. 2019 (19:51)

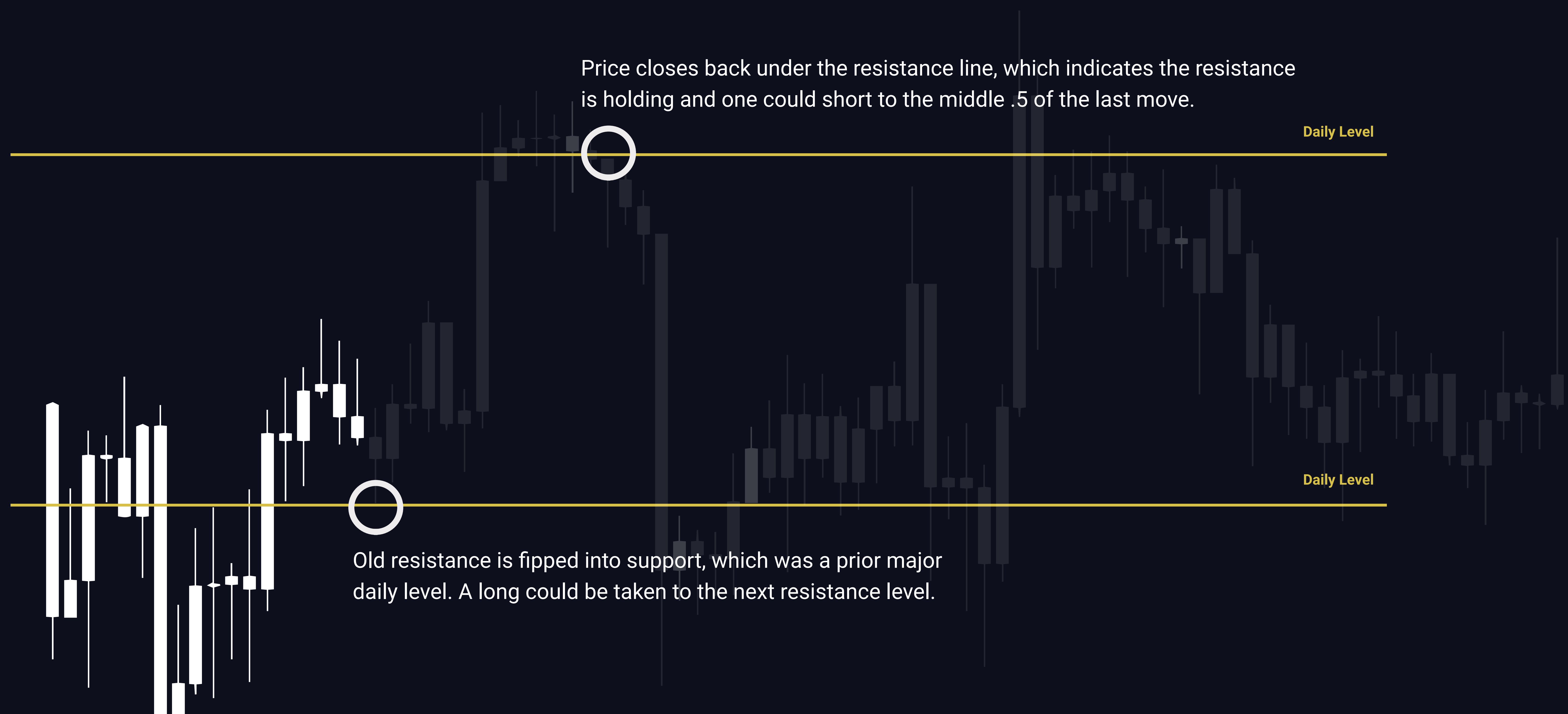


Early signs a range could form

You can get early signs a range may form. If you have a move from a major support to a major resistance, and the price starts to close back under the resistance line then it appears the resistance is holding, and you could short back down to the bottom of the range support, which in turn will start to create a channel.



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pt. 2 stream on 11. 9. 2019 (21:09)





Price Formed a Well Defined Channel

Deviations from the range. Price gets outside of the range, but instead of getting follow through, gets series of Lower highs and Lower Lows to get back inside of the range. Once back inside the range after a deviation one would enter a trade to the the side of the channel, taking profit t in the middle.



Another deviation from the range, but quickly gets back inside offering a long trade setup.

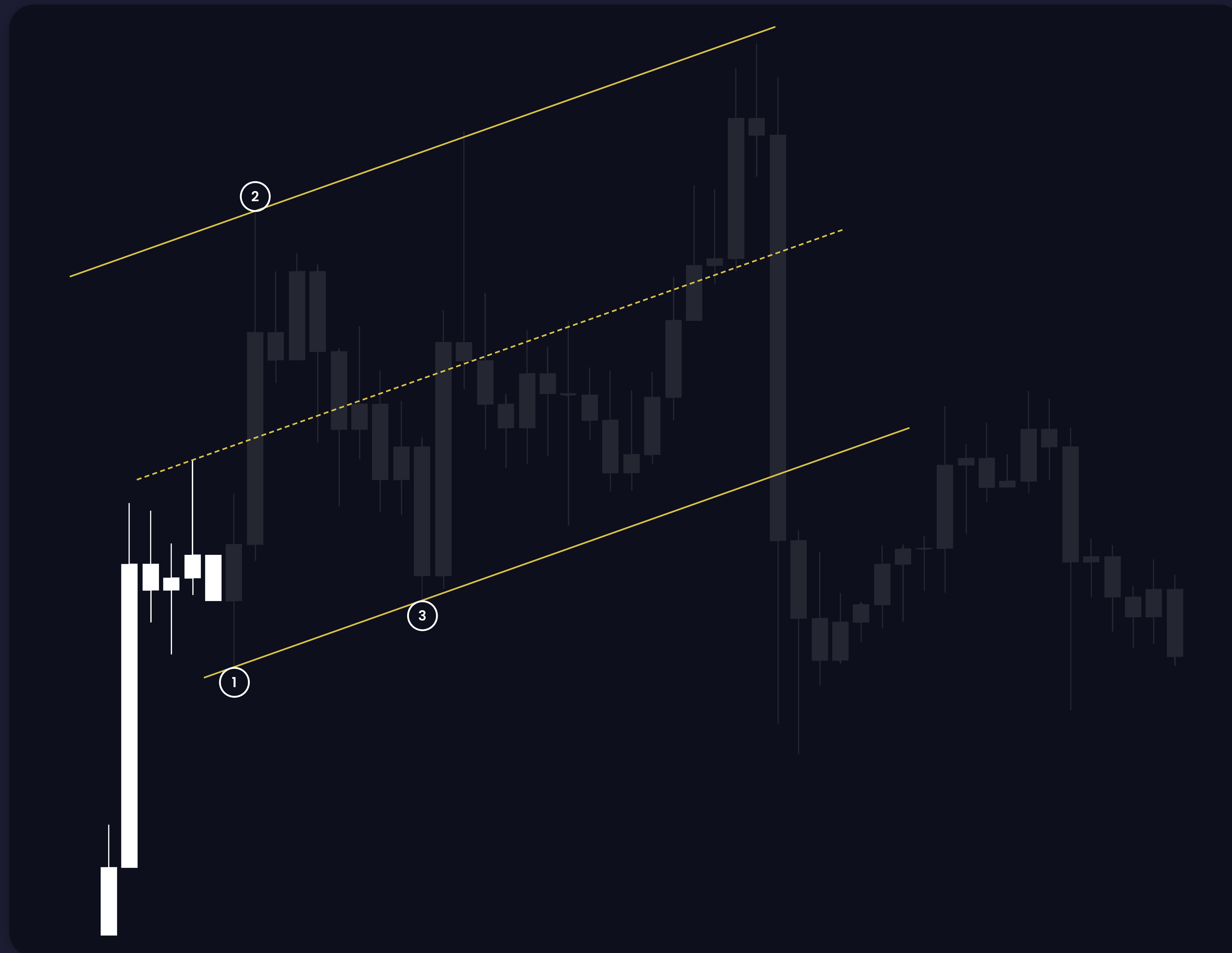
Nothing in trading is perfect but after all, range was formed after an early sign. There are some deviations which is completely normal.



Explained in Contenders Parallel channels pt. 2 stream on 11. 9. 2019 (27:25)



Upwards Sloping Channel Within a Higher Timeframe Sideways Channel



To start a parallel channel you need to connect 3 anchor points. Click on point 1 to 3 and drag to point 2. This will create the channel. In an upwards trending channel like this you would use the middle and top of the channel as price targets for a long.



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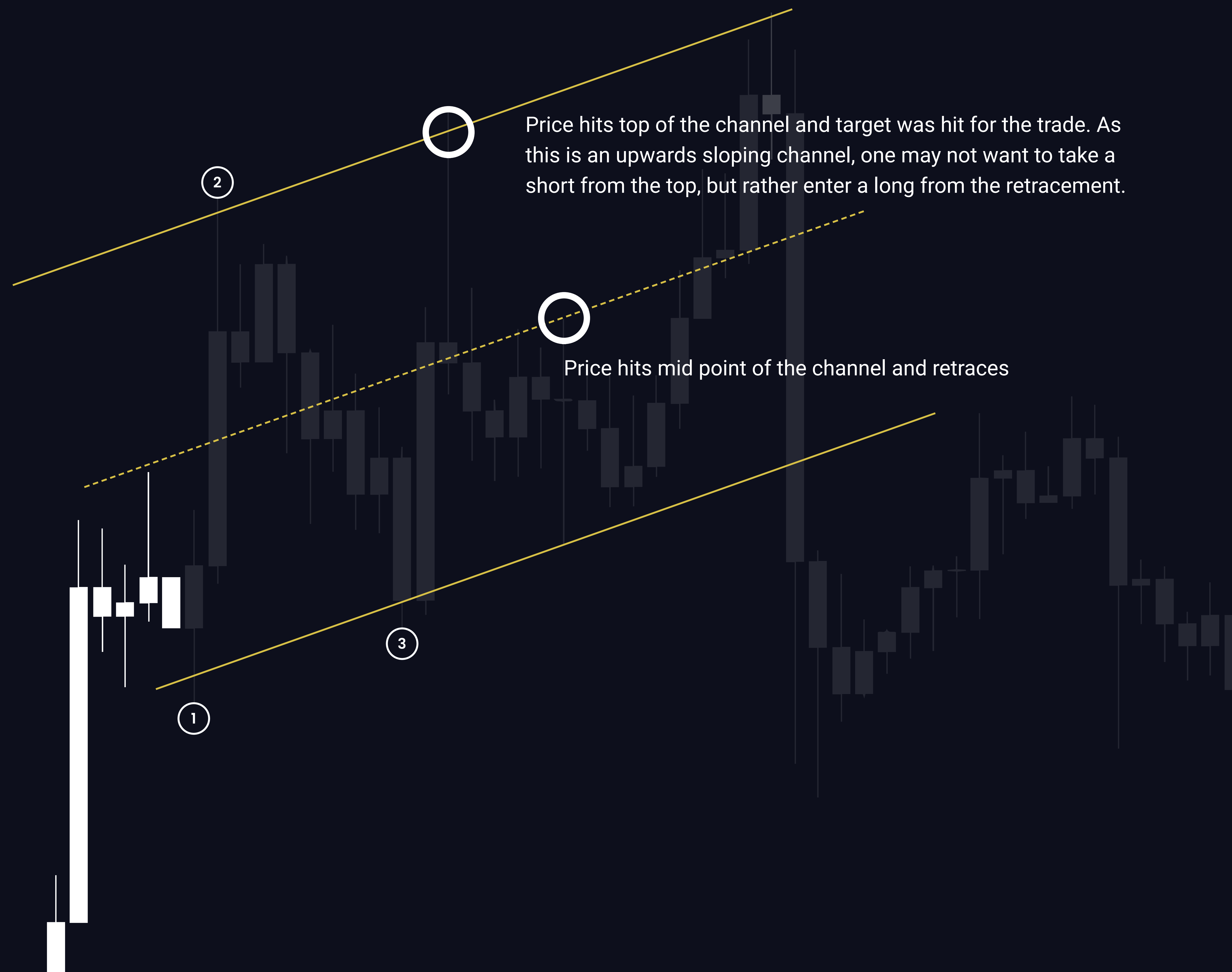


Parallel Channels

It played out. On the upwards sloping channel, one may rather take longs at the bottom of the channel than shorts at the top.

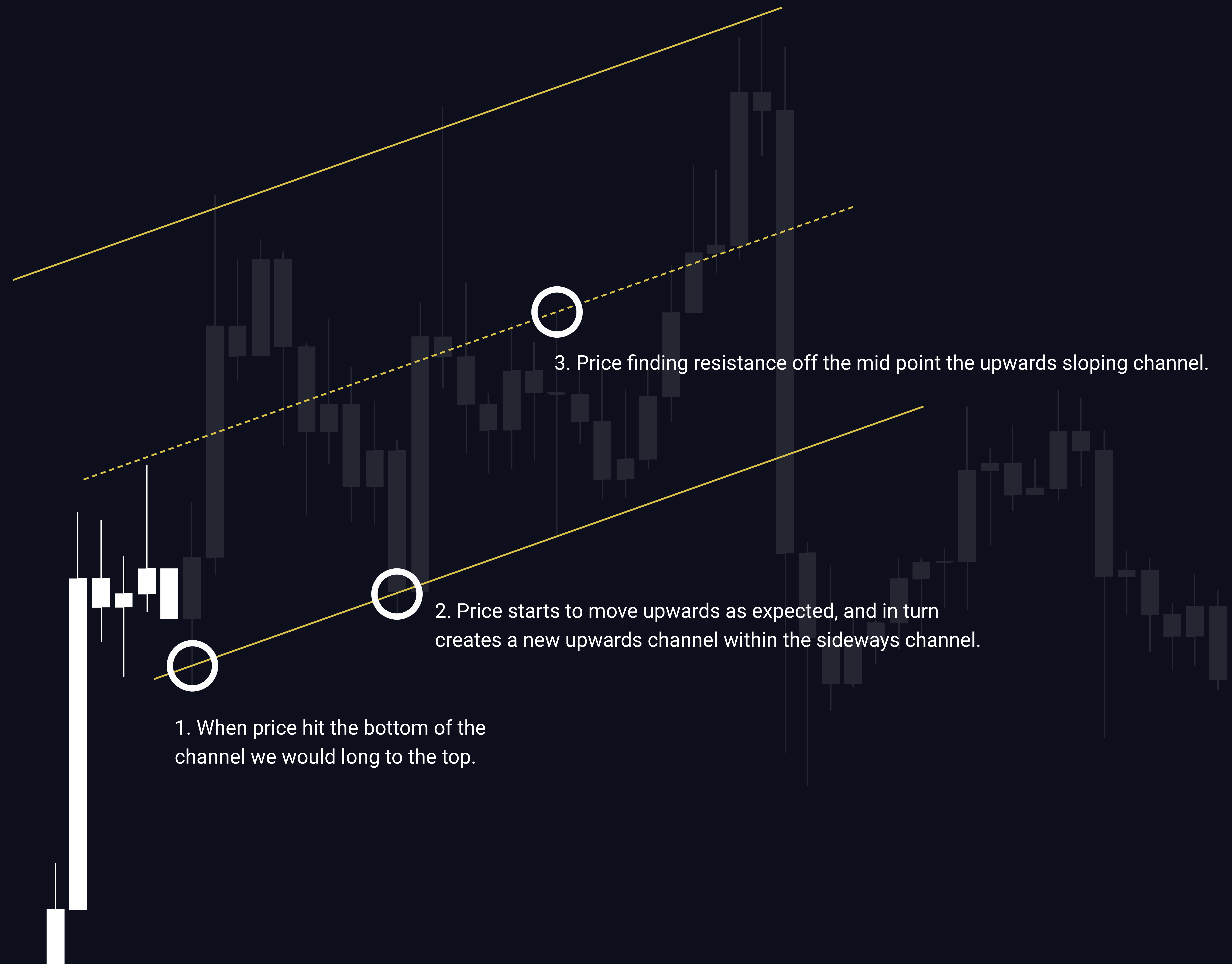


Explained in Contenders Parallel channels pt. 1 stream on 4. 9. 2019 (33:52)





Upwards Sloping Channel Within a Higher Timeframe Sideways Channel



As price ranges from low to high in a (HTF) channel it is naturally expected there is an upwards sloping channel being formed on the way up and a downwards sloping channel formed on the way down.



Explained in Contenders Parallel channels pt. 2 stream on 11. 9. 2019 (16:03)

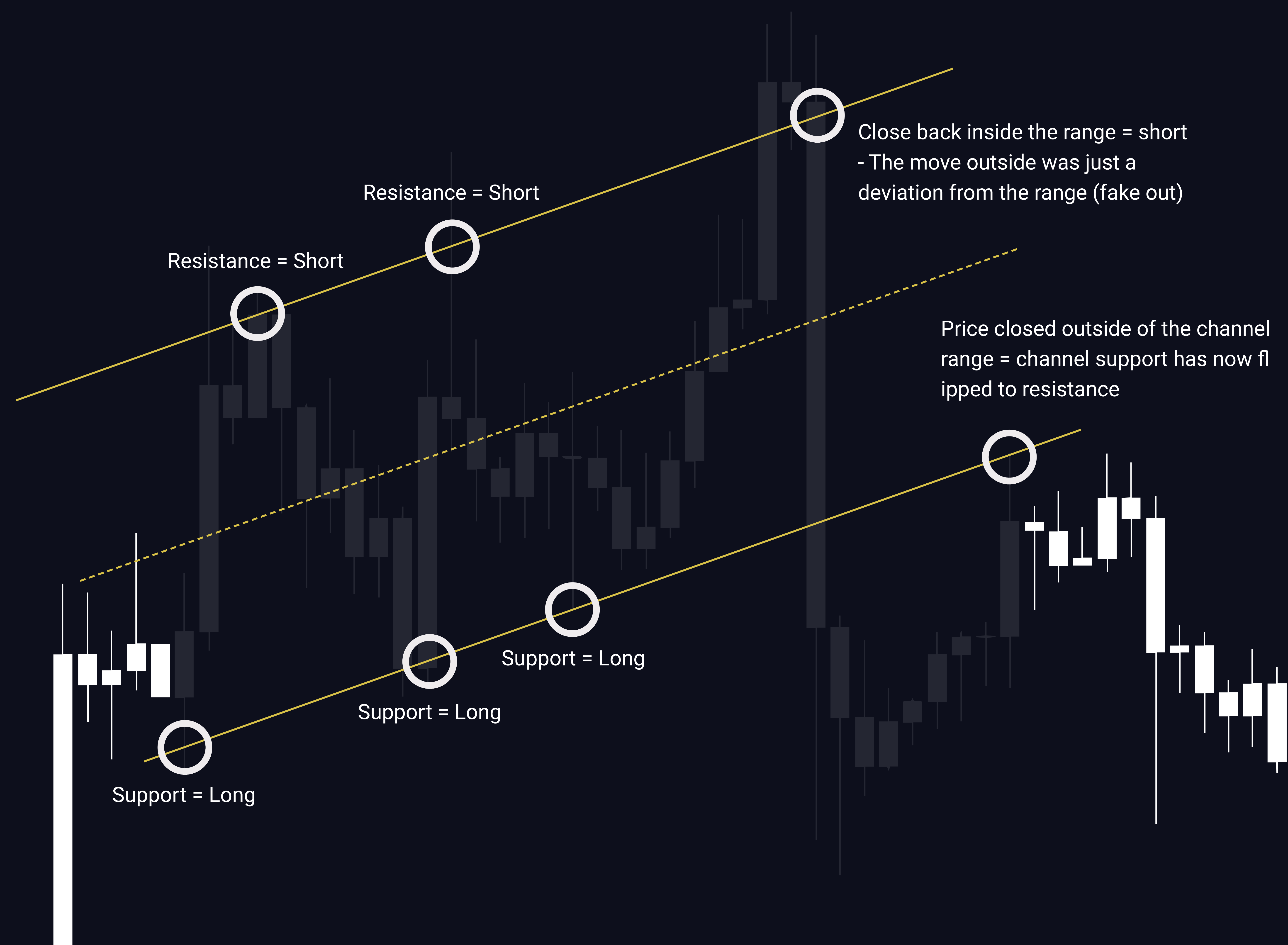


Parallel Channel Example

An example of not the most obvious yet respected channel and how one would/could trade it.



Explained in Contenders Parallel channels pt. 1 stream on 4. 9. 2019 (33:52)





Parallel Channel Example

Never ever delete a channel from your chart when broken because the old channel will be broken and come back as a new channel. The old channel acts as a support.



Explained in Contenders Parallel channels pt. 2 stream on 11. 9. 2019 (40:18)

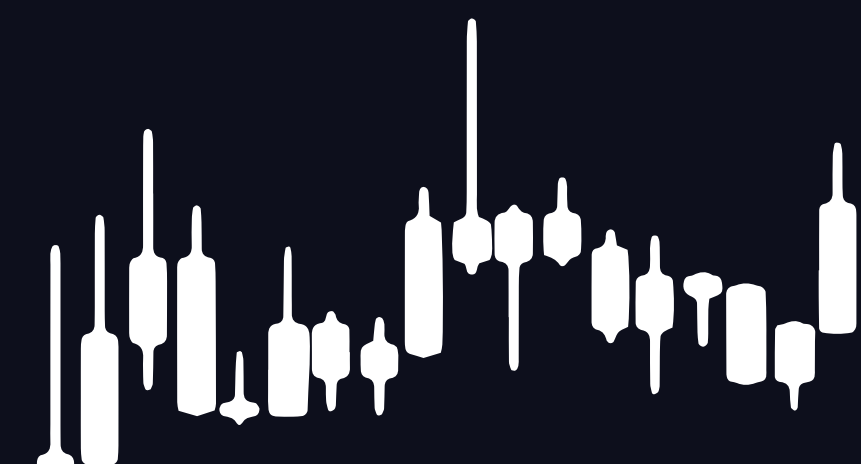
Short top of the range. As this is a smaller range I would trade side to side eg. Short top of the range, take profits at the mid point of the range, but ultimately hold the short till bottom of the range.

Price gets a candle close outside of the range, and then back tests the channel range resistance as support for another impulse wave upwards, a perfectly traded channel.

Sideways range is formed after a rise in price, thus one could favor trading longs in the range (Though I would trade both ways).

Long bottom of the range, taking profit in the middle of the range, but trading it back to the top.

Previous smaller time frame channel acts as support as price dips back into it.



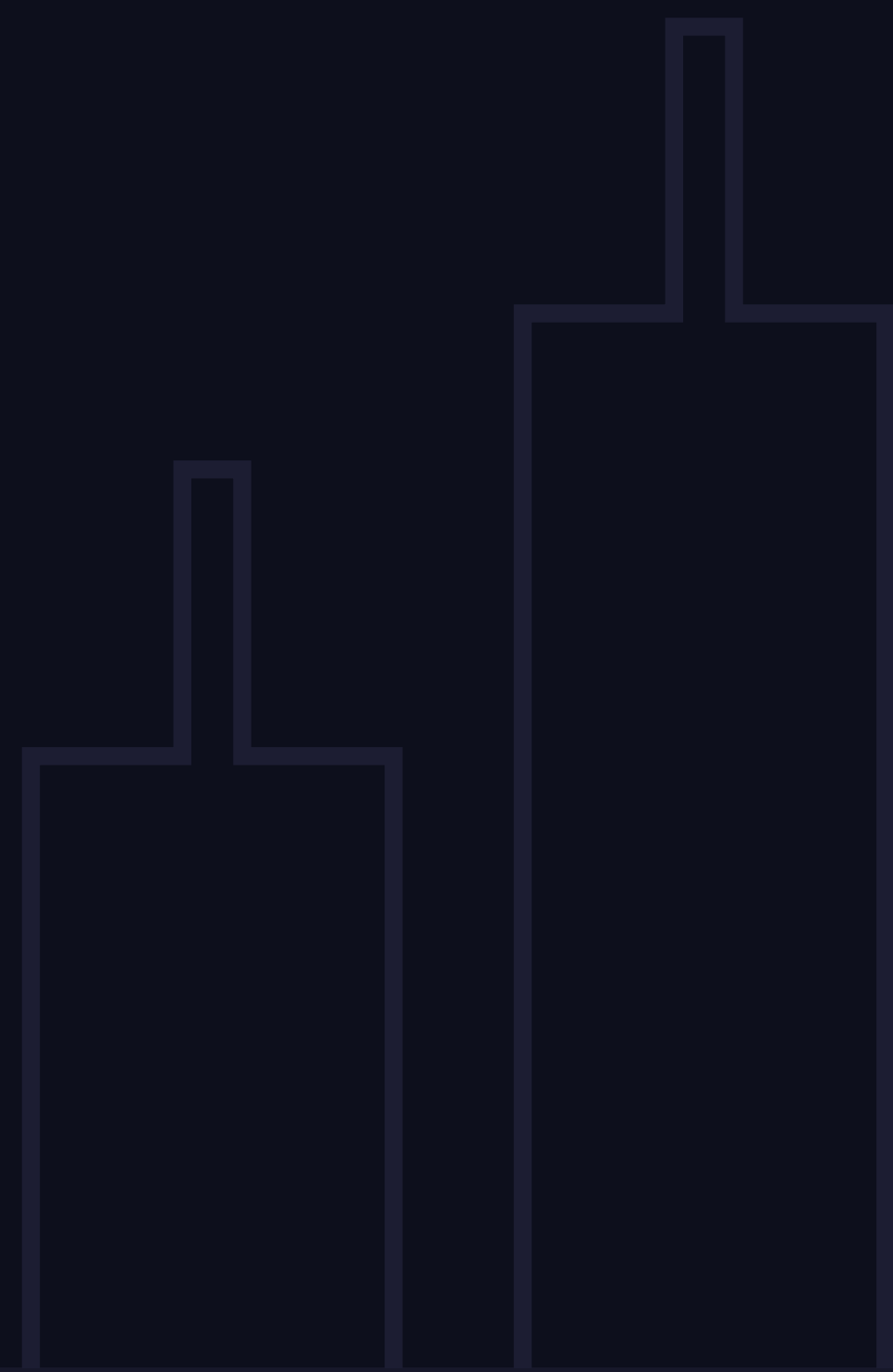


Parallel Channels

Amazing example how old channel acts as support when revisited (multiple times).

That's why we do not delete respected channels.

BTCUSD 15/06/2019

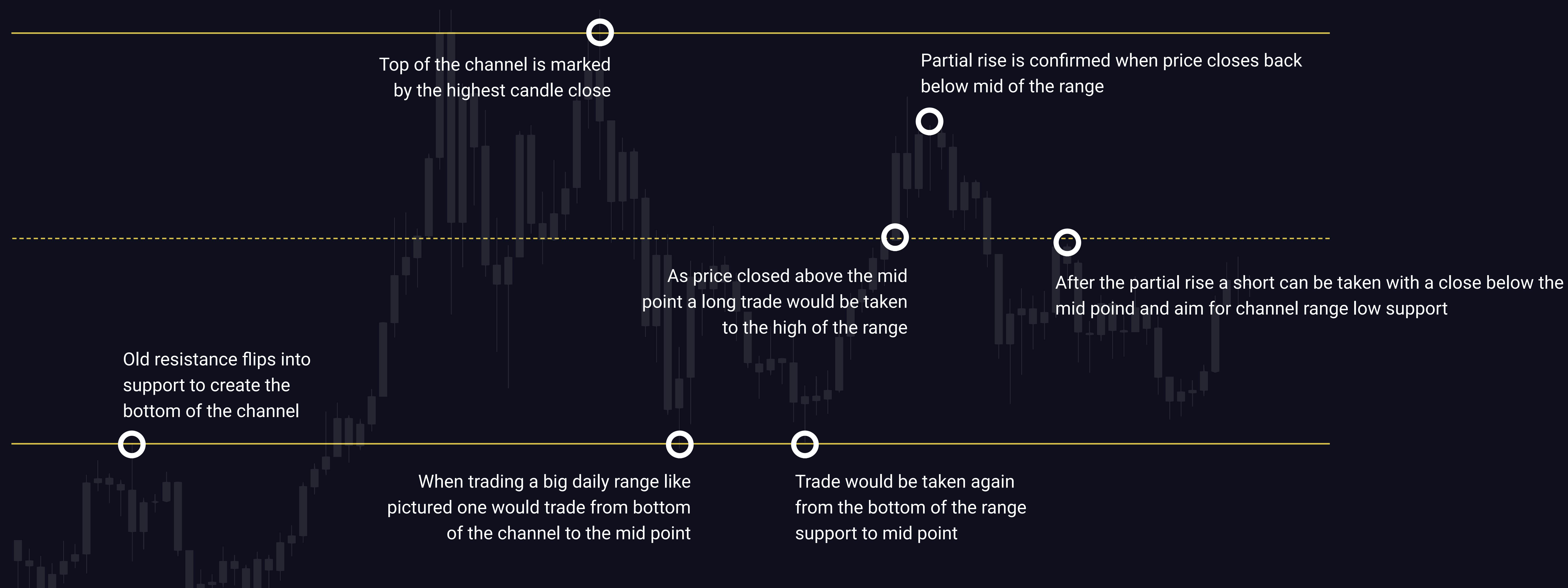


Explained in Contenders Parallel channels pt. 2 stream on 11. 9. 2019 (46:10)





Parallel Channels



Daniel likes to draw his channels from the respected bottom candle closes to the respected top candle closes but if there is an important factor such as S/R flip, he goes for a wick as well. There is no hard rules, see what is respected more.



Explained in Contenders Parallel channels pt. 2 stream on 11. 9. 2019 (33:29)



Fibonacci Channels



Fibonacci channels are best used on higher time frame channels. The Fibonacci numbers are then used as support and resistance lines. Always you must have confluence to enter a trade. The standard Fibonacci channel is very similar to standard parallel channel, the only difference is that Fibonacci channel is exclusively used on HTF. Start on the high and connect series of the highs (second click) and the third click is on the low. Fibs have to be respected and if they are respected you use it over classic channel.

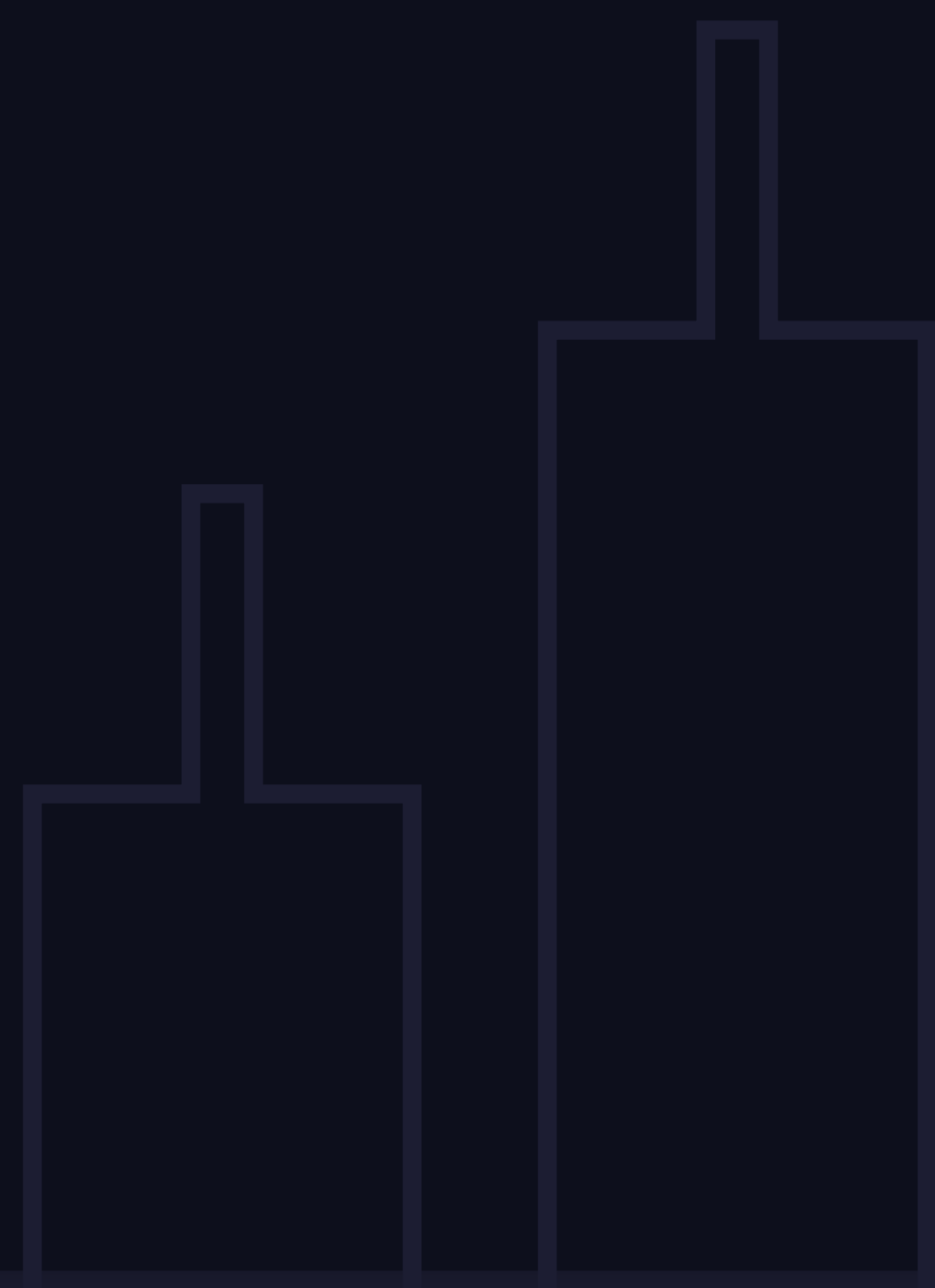


Explained in Contenders Parallel channels pt. 2 stream on 11. 9. 2019 (33:29)

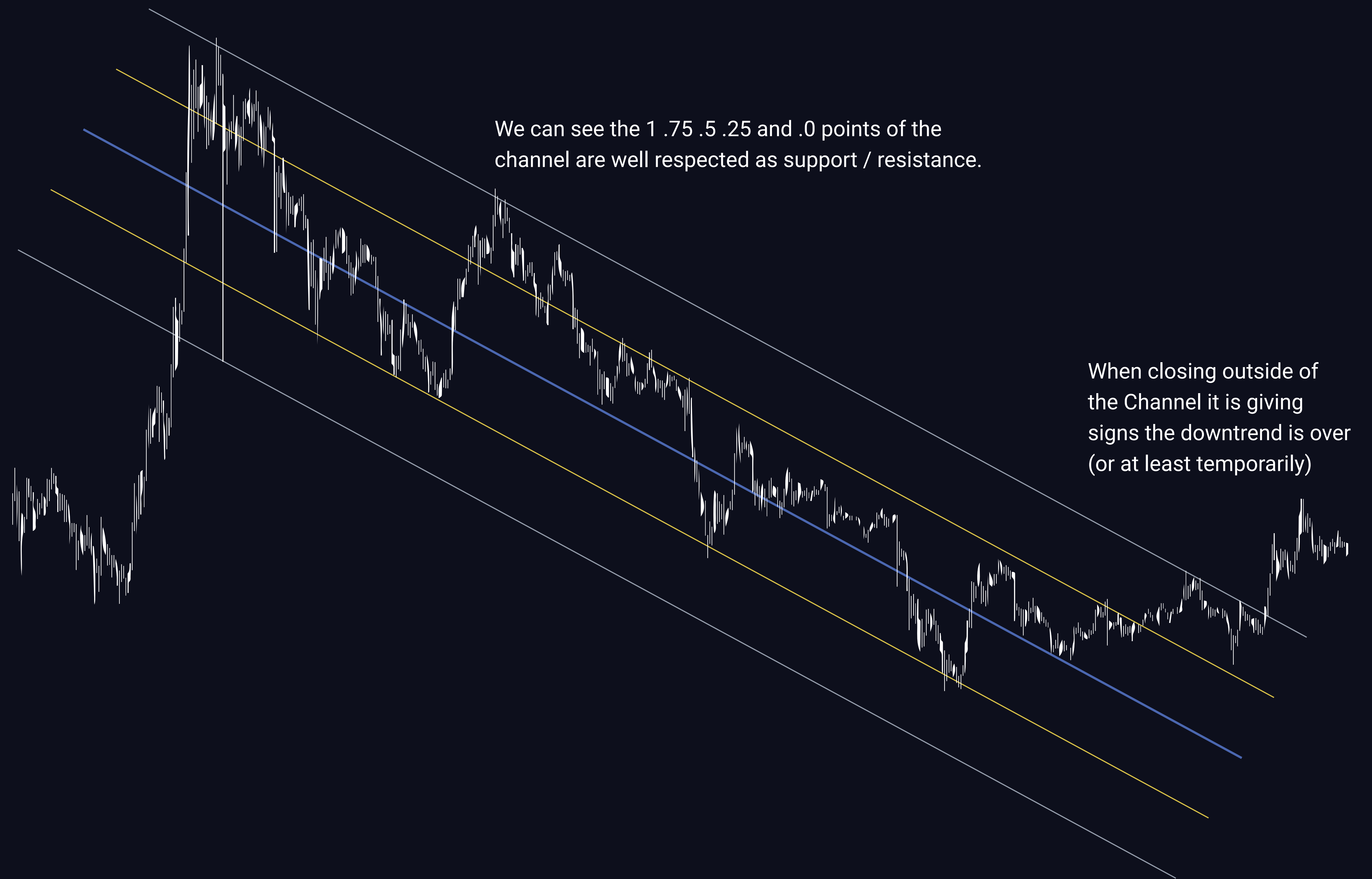


Long Term Channels

Long term channels are extremely useful for determining when a long term down or up trend is over and the coin is ready to reverse. It has to be used on at least 1 day TF and it has to be respected. If you look on 1+ year data and it is extremely volatile log scale is extremely helpful because you can see all the movement. You can adjust the channel if break is not convincing.



Explained in Contenders Parallel channels pt. 4 stream on 25. 9. 2019 (37:46)





Fib Channel Extension



The width from the 1-2 trendline to point 3 is the Fib channel, from this we can calculate price targets for where a bounce can come to. Always use a Fib channel with confluence with another indicator! To know that you have a valid Fib channel you want to see the 0.618 or 1 trendlines have been respected in the past, if they haven't the Fib channel is not valid.

— Best used on HTF. Connect the high (peak), to low (valley), to secondary high (peak). On the second peak, there should not be any other touch. Fibs are areas of S/R and if 0, 0.618 and 1 have no respect it is not a valid channel.

— Take a trendline from the major peak to major valley (point 1 to point 2) in a downtrend, and then your 3rd click will be on a significant peak (point 3).



Explained in Contenders Parallel channels pt. 1 stream on 4. 9. 2019 (13:00)



Fib Channel Extension



A really nice example of nicely respected Fib channel extension.



Explained in Contenders Parallel channels pt. 4 stream on 25. 9. 2019 (27:41)